Economic Conditions and Managing Finances

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Eight Key Points of Economic Thinking

1. Using resources is costly, so decisions-makers must make trade-offs
2. Individuals maximize their utility with respect to their resource constraints
   - Utility - Subjective benefit or satisfaction received from an action
   - Term Economists broadly use to measure individual benefit
3. Incentives (monetary and others) influence choice predictably
4. Individuals make decisions at the margin
   - Marginal change - net change to current circumstances

Eight Key Points of Economic Thinking

5. Information aids decision making and is costly
6. Economic actions generally have indirect effects (unintended consequences)
7. Economic value is subjective due to differing preferences
8. The test of a theory is that theory's ability to predict outcomes

- The study of economics is generally broken down into two fields:
- Microeconomics – Branch of economics focusing on individual human interactions, with aggregation up to individual households or firms within a sector.
- Macroeconomics – Branch of economics focusing on human behavior across aggregated markets and nations.

The Market Econonomy in a Slide

- Resources – Inputs used to produce economic goods
- Scarcity – There are less of an economic good freely available than desired in an unconstrained world
- Opportunity cost – The value of the next preferred alternative sacrificed in a decision
- Law of Demand – There is an inverse relationship between the price of a good or service and the quantity of that good consumers are willing to purchase. Ceteris Paribus.
- Law of Supply – There is a relationship driving production such that as the price of a a good increases, producers are willing to supply more of the good. Ceteris Paribus.
- Market – An abstract concept encompassing the forces of supply and demand, along with the interactions of buyers and sellers interacting via exchange.
- Shortage – quantity supplied is less than quantity demanded.
- Surplus – quantity supplied is greater than quantity demanded.
- Market Equilibrium – quantity supplied is equal to quantity demanded

Microeconomics of a Nonprofit Firm

- Firms generally participate in two markets: the resource market and the product market
- **Product Market**: The market for final goods and services
- **Resource Market**: The market for inputs used to produce goods and services
- Nonprofit organizations are no different, especially in the resource market
- Resource examples include:
  - Labor
  - Physical capital (building occupied, equipment, etc)
  - Donations
- The product market gets to be a little tricky dependent upon what subsector an organization is in. Especially if the good provided is not a traditional private good (rivalrous and excludable)

Economics of a Nonprofit Firm and the Nonprofit Market

- Nonprofits themselves also compete with resources from other organizations, creating their own firm dynamics within a market
- The composition of other nonprofit organizations in the market dictate the level of market power and competition
- Perfectly competitive markets – 1. Large number of firms existing in a market who 2. Produce an identitical product where 3. each firm only supplies a small portion to the market and 4. no barriers to entry or exit exists
- Relaxing points 1 and 3 give us market power and allow for monopolistic competition (the most common form of competition)
- Relaxing points 1-4 results in two market structures: monopoly and oligopoly
- **Monopoly**: A market characterized by a single seller of a well-defined product for which there are no good substitutes with high barriers to entry
- **Oligopoly**: A market characterized by a small number of sellers with high barriers to entry

Quantifying the economy

- Gross Domestic Product
  - Definition: The market value of all final goods and services produced within a country during a specific period
- How do we count GDP?
  - Only by counting transactions of final goods and services
  - Only by counting transactions involving production
  - Only production within the country is counted
  - Only goods produced within the time period is counted
- All these goods and services are measured in dollar value. This is due to the relative difficulty of comparing items otherwise.

Deriving GDP through Output

- Expenditure Approach: $C + I + G + X = GDP$
  1. C - Consumption
     - Purchases of consumer goods and services by households
  2. I - Investment
     - Replacement of machinery, equipment, and buildings worn out throughout the year
     - Net additions to the stock of capital assets (spending minus depreciation)
     - Inventory investment - changes in stock of unsold goods and raw materials held
  3. G - Government Spending
     - Government Consumption (Ex: operational expenses, government employee salaries such as law enforcement, things keeping public sector lights on)
     - Government Investment - Purchasing of capital goods such as infrastructure spending
  4. X - Net Exports = Total Exports - Total Imports
     - Exports: Domestically produced goods and services sold internationally.
     - Imports: Foreign-produced goods and services purchased domestically.

The Business Cycle

- Let's begin by looking at the St Louis FRED database on changes in GDP over time.
- The series of peaks and troughs throughout this graph make-up the *business cycle*
- Business Cycle: Fluctuations in the general level of economic activity
- Phases:
  - Expansion - increasing business activity in the economy
  - Peak (Boom) - highest point of economic activity
  - Recession - decreasing economic activity
  - Trough (Bust) - lowest point of economic activity

Issues with Dollar Valuation

- Monetary value changes year to year due to **inflation**
- Inflation: An increase in the general level of prices of goods and services
- Calculating the changing value of the dollar over every good and service in the economy is an incredibly difficult task
- Two commonly used indexes to approximate inflation are the Consumer Price Index and the GDP Deflator
- Consumer Price Index
  - Designed to measure the impact of price changes on the cost of the typical bundle of goods purchased by goods.
  - 211 item categories constitute the "typical bundle" by the urban consumers starting in 1982-1984.
  - Maintained by the Bureau of Labor Statistics
  - Believed by economists to overstate impact of price increases as it does not account for household substitution.
  - To account for substitution effects, the BLS also provides a measure called the *Chained CPI*

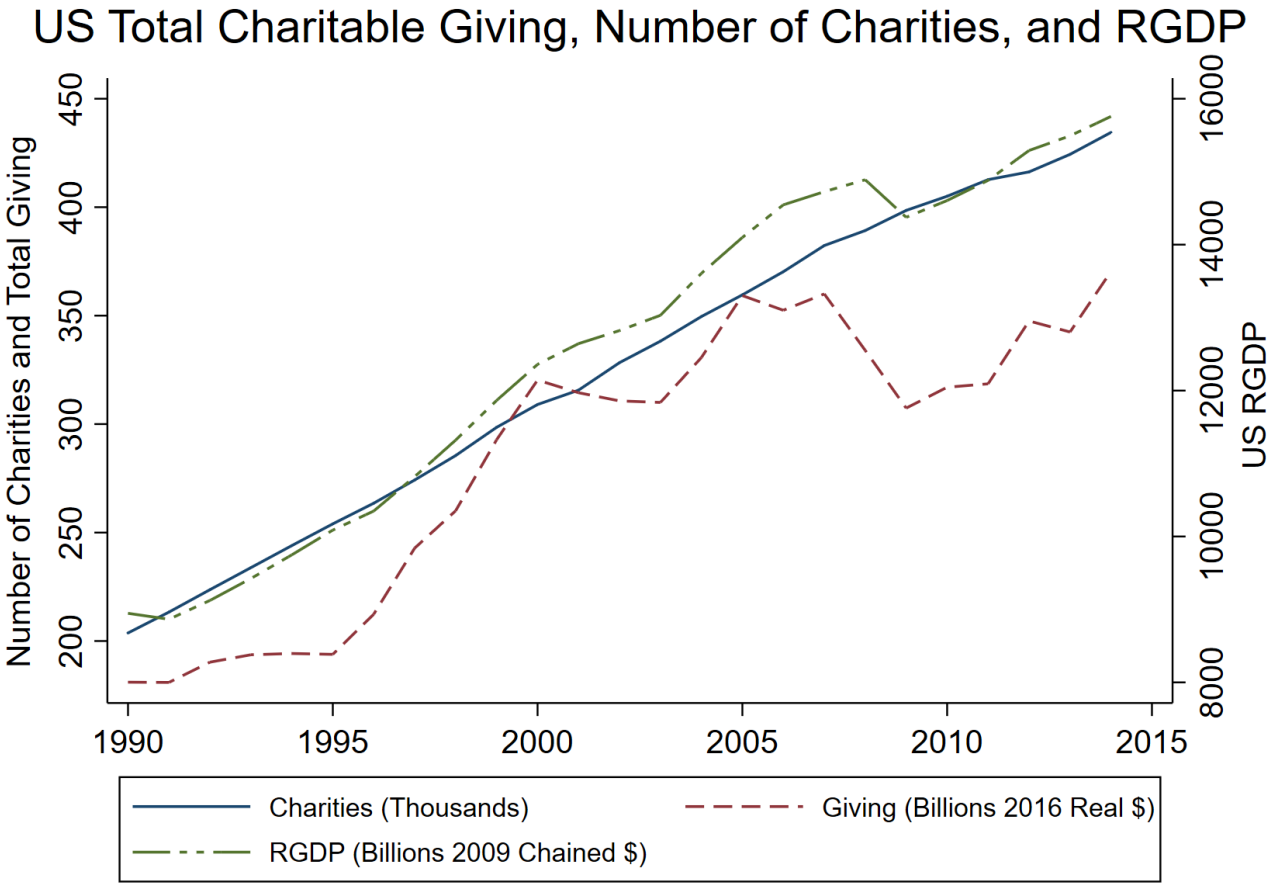
Measuring the Health of the Labor Market

- Unemployment rate:
  - What it is: Percentage of unemployed people in the labor force
  - How to calculate it: $\frac{\#Unemployed}{\#CivilianLaborForce}$
  - This statistic can be slightly controversial
- Labor force participation rate:
  - What it is: The percentage of the population over the age of 16 that are in the civilian labor force
  - How to calculate it: $\frac{\#CivilianLaborForce}{\#Peopleover16}$
- Employment/Population Ratio:
  - What it is: The number of people currently employed compared to the total civilian population over 16
  - How to calculate it: $\frac{\#Employed}{\#Peopleover16}$

Unemployment Types

- Three Types of Unemployment
  1. Frictional
     - Unemployment due to changes in the economy preventing qualified workers from being matched up with existing job openings
     - Example: postings on a job board or recruiting website that haven't been filled yet due to ongoing interviews
  2. Structural
     - Unemployment due to a systematic mismatch of characteristics between job openings and job seekers
     - For example, the shortage of trade and high tech workers in the US
  3. Cyclical
     - Unemployment due to recessionary conditions
     - This includes workers who have been laid off due to an economic contraction

Macroeconomic Impacts on Nonprofit Operations



- Demand for human services in times of unemployment (correlated with economic downturn) increase, yet operations and financial capacity decrease. *How do these forces interact?*

Navigating During a Crisis

- Crisis, whether it be due to economic conditions or otherwise is inevitable
- Economic incentives will necessarily dictate decisions; however, leadership can make a difference through specific habits:
- Leading with Purpose
  - The crisis itself presents a call to action – what will matter is movement with purpose
- Leading with Power
  - Crises expose how power is distributed
  - Leadership fundamentally requires the utilization of power and making consequential decisions
  - Fundraisers need to maintain their power with donors as best as possible
- Leading with Perspective
  - Both leading and fundraising are people-facing positions, which necessarily requires understanding from multiple perspectives

Mindful Fundraising

- Leadership and Fundraising in times of crisis presents an opportunity to restructure philanthropy to be more equitable and democratic along the following dimensions:
- Complexity, Connection, and Community
  - Dependence on social connections heighten in times of crises
  - Fundraising professionals can represent a connection to the nonprofit organization and present an avenue for community
- Breaking the Status Quo
- Reconsideration of Ethical Fundamentals of the Profession
  - Crises often can bring inequities to the forefront, presenting an opportune time to reconsider current practices in new light
- Ethical Inspired Adaptations During Crisis

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Subsector Overview

Subsector Analysis

- Religion
  - Individual contributors comprise 81% of funding for congregations, 78% of total funding received during services
  - Most immediate threat here: declining religious affiliation and attendance
- Education
  - Only 11% of US households donate to education; however, education donors do give 15% of their total budget to education purposes
  - 23% of high net worth donors donate to education
  - Declining college enrollments and a small donor pool are immediate and long-term concerns in this subsector
- Human Services
  - Includes food banks, homeless shelters, disaster relief, and youth programs
  - Nearly one in four households in the US gives to some type of basic needs philanthropy – over half of high net worth donors
  - As of 2019, half of organizations operating in this sector are operating at a loss

Subsector Analysis Continued

- Foundations
  - Foundations include private, corporate, and community foundations
  - Private foundations are required to distribute 5% of their endowment per year to maintain their status
  - The biggest issue foundations face from a fundraising perspective stem from donor perceptions
- Public-Society Benefit
  - Diverse set of organizations such as pass-through organizations (United Way), civil rights, legal aid, public policy, and advocacy
  - This area has had the strongest rate of growth since 2016 among all subsectors
  - Challenges facing this sector stem from the the portion of the subsector examined – funds appear to be shifting
- Health
  - Includes hospitals, hospital foundations, and medical research
  - 16% of households give to health organizations, with health donors donating 13% of their total giving to the sector
  - The percentage of households has declined by 6% since 2000 – representing the largest drop of any secular subsector

Subsector Analysis Continued

- International Affairs
  - 10% of total giving in this area comes from high net worth investors
  - Subsector is also largely funded by corporations and foundations
  - There's a lot of innovation currently happening in this subsector regarding the hybrid of public and private sectors in social enterprise
- Arts, Culture, and Humanities
  - 1 in 7 Americans give to this subsector
  - 1 in 4 high net worth households do
  - This subsector is substantially impacted by recessions – hit harder than many subsectors
- Environment and Animals
  - 1 in 9 Americans donate to this subsector
  - 1 in 5 high net worth households donate
  - This subsector is top of mind for many young individuals; however, there are also stacking crises in this subsector

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Constructing the Fundraising Budget

- A well constructed budget provides a guide for how fundraising expenses should be allocated based on set line items
- In constructing a fundraising budget, you will generally start with the previous years budget. From there, you should answer the following:
  - How is the current fundraising program doing?
  - How much money did the organization raise?
  - Is the board and CEO mostly happy with how fundraising is going?
  - Will incremental budgeting or zero-based budgeting be used?
  - How will other organizational needs impact our budget?
- Nonprofits need to spend money (investing in fundraising) to make money
  - The development team needs to be ready to argue to leadership how fundraising costs are an investment rather than an expenditure

Fundraising Expenses and Revenue

- Expenses can be split into direct and indirect costs:
  - Direct Costs: General nonprofit expenses like rent, accounting expenses, utilities etc
  - Indirect Costs: Expenses happening specifically because a program exists. Fundraising examples include salary, training, mileage, etc
- Similarly, fundraising revenue (also known as contributions or income) can be split into restricted and unrestricted contributions:
  - Restricted Contributions: Gifts that have been designated for specific purposes
  - Unrestricted Contributions: Gifts that can be used at nonprofit discretion to further the mission of the organization

Creating the Fundraising Budget

- Most nonprofit budgets have a separate column for each program, including fundraising.
- When building out the budget, not only will an organization plan for inputs, but it will also plan fundraising output and metrics.
- Fundraising performance evaluation metrics include:
  - Cost to raise a dollar (total spent / total raised)
  - Net fundraising return or fundraising return on investment (total raised - total spent / total spent)
- The Association for Fundraising Professionals has several tool for a nonprofit organization to evaluate several fundraising metrics
  - The Fundraising Fitness Test
  - Fundraising Net Analyzer
- Experts are trending away from percentage benchmarks due to the lack of economies of scale in smaller organizations
- **Economies of Scale**: reductions in a firm's per-unit cost of production associated with the use of large plants to produce a large volume of output